

The Woman Director Rule



Sebi Listing Agreement was amended in 2004; clause for appointment of a woman director was introduced



Under the Companies Act, 2013, at least one woman director is mandatory for boards of all listed firms and certain unlisted entities



It also mandated that any vacancy arising had to be compulsorily filled within three months



In 2017, the Kotak Committee on Corporate Governance proposed at least one woman independent director in boards of all listed firms



The deadline for the Top 500 firms was April 2019 and April 2020 for the Top 1,000 companies

SOURCE EY REPORT, BT RESEARCH

against multifaceted challenges. With four sisters involved in the business, women hold six of Apollo's 11 board positions—which is among the highest in India. “Our boardroom is just one of the areas with high women’s representation, and we have seen its benefits across the spectrum—from well-rounded and informed decision-making to a deeper understanding of the needs of our customers, as well as better talent attraction and retention,” she says.

Where are the Women?

At the other end of the spectrum, companies pay lip service by

company really wants a culture of transparency and candour. “If a company’s culture is that the Chairman decides and all other directors generally agree, then there is no independent perspective on those boards.”

A common retort is that the available pool of women to choose from is too small. But it is just a question of enlarging the roster by looking beyond just those with prior CEO experience. There is a rich universe of non-CEO executives, retired IAS officers, retired PSU officials and academics waiting to be tapped. “Of course, relevant experience matters. But



Women managers progress slowly due to a lack of mentors, unequal opportunities and gender bias

including extremely young and inexperienced women. Neharika Vohra, Professor of Organisational Behaviour at IIM Ahmedabad—who has researched women on boards—says her research showed that there were firms with B.Com graduates in their mid-twenties as independent directors. “You are just putting her there so that she has no voice. She’s so inexperienced that she is possibly just happy to have the position, but has nothing to contribute and is not a threat either,” says Vohra. Bali adds that it cannot be assumed that every

that can be found in functional expertise in the C-suite as well,” says Bali. “Companies can hire technical experts. But effective board members are there for their broad wisdom of corporate strategy, human motivations, service to society and looking after the customer interests,” adds Duggal.

A lot boils down to how companies approach board member selection—which is typically through references in India. “All my overseas boards have been the result of a professional search process that the respective companies have undertaken to refresh